

High-growth in the North West

Mapping out the most ambitious
businesses in the North West of England

What do we mean by “ambitious”?

We use 8 criteria to identify high-growth and ambitious companies. Each of these are a sign of external validation that a business is either actively growing or creating ambitious growth plans.

All companies featured in this report have met at least one of these growth triggers.



Equity investment



Venture debt



Accelerator attendance



Grant recipients



Scaleups



High-growth lists



MBO/MBI



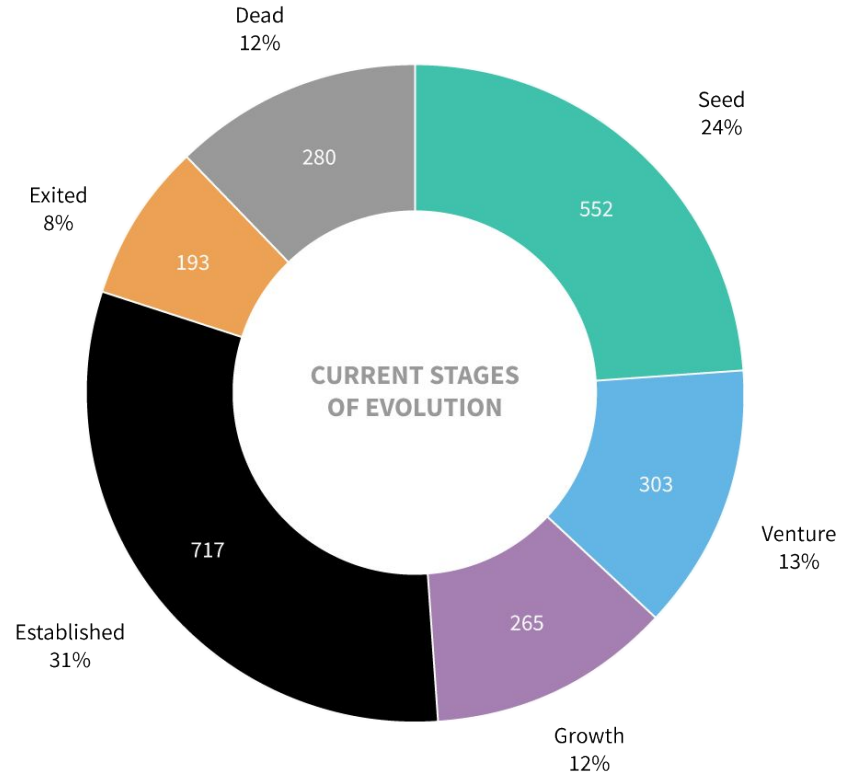
Academic spinouts

Stages of evolution

There are **1885** active, ambitious companies in the North West, **8%** of the UK's total.

Since 2011, an additional **193** have exited the market, either through an IPO or an acquisition, and **280** are no longer trading.

31% of companies in the North West are established, compared to the national average of **23%**.



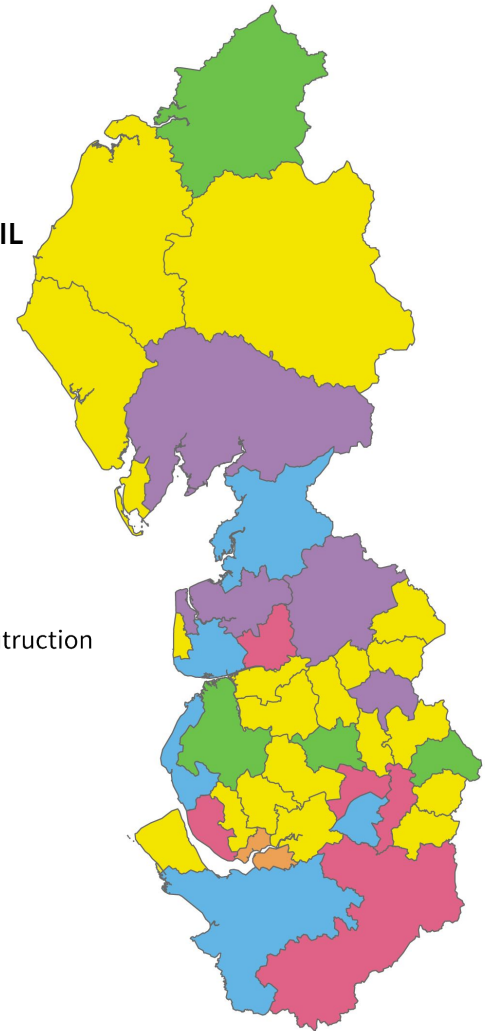
Geographical distribution

Manchester City Council has the highest population of active ambitious companies in the North West, hosting **361**.

Whilst the more metropolitan areas in the south of the region, such as Manchester and Liverpool, have moved towards the software sector, the surrounding suburban cluster remains largely focussed on manufacturing and engineering.

MOST POPULAR SECTORS BY COUNCIL

- Software
- Business and Professional services
- Property/land development and consutruction
- Life sciences
- Retail
- Manufacturing and Engineering



Methods of growth

49% of high-growth companies in the North West have used equity funding since 2011 to grow, less than the national average of **56%**.

But the region hosts a very high number of scaleups. With a fairly low level of equity funding, it's clear that companies in the North West are growing in different ways than those in the South. A high density of manufacturing businesses means debt finance is understandably more common.

Raised equity

992

Visible scaleups

545

Received grants

882

Spun out of a university

70

Attended accelerators

317

Featured on a high-growth list

653

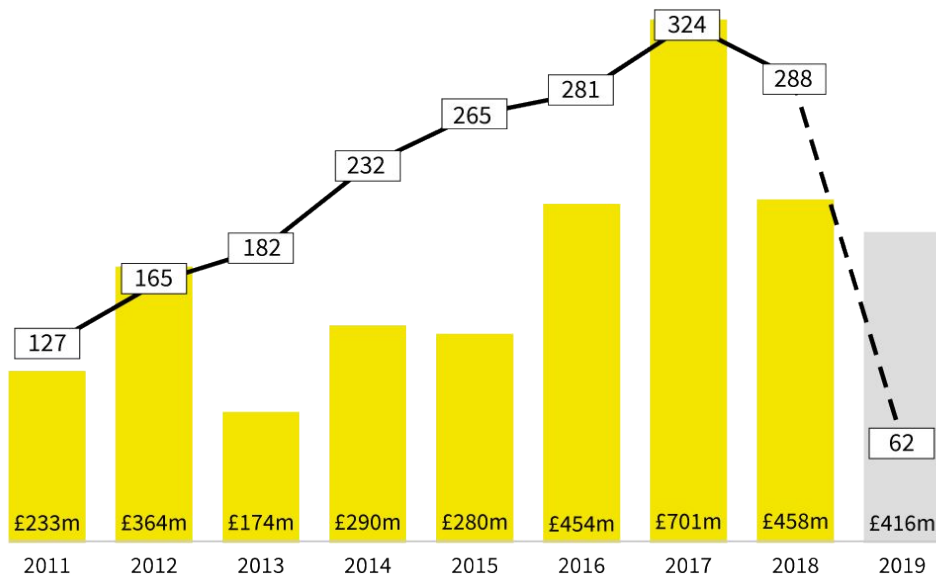
Fundraising statistics

Following trends seen across the country, the number of deals and amount invested in the North West peaked in 2017.

2011 and 2012 were particularly strong years, with the region taking **10%** and **12%** of pounds invested into the UK respectively. Since then, this proportion has dropped, reaching just **4%** in 2018.

Encouragingly, investment figures for Q1 2019 have almost matched those for the whole of 2018.

NUMBER OF DEALS AND AMOUNT RAISED

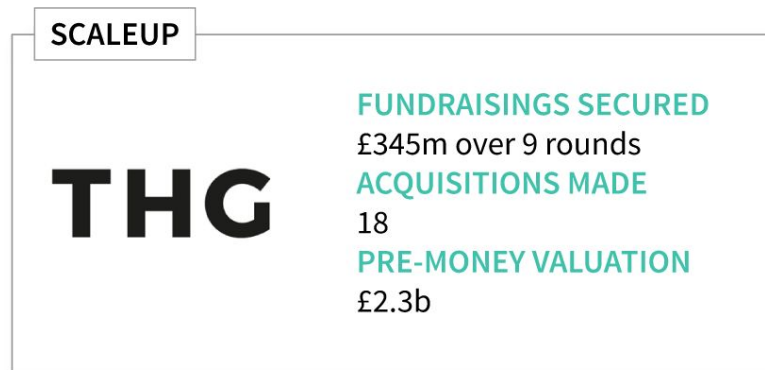


Scaleup statistics

24% of high-growth companies in the North West are scaleups compared to the national average of just **17%**.

Out of **5,195** visible scaleups in the UK, **545** (10%) are based in the North West, **229** of which are in the Greater Manchester area.

The most popular sector is Industrials, with **38%** of scaleups in the North West operating in this area.



E-commerce giant The Hut Group is the most valuable scaleup in the region, achieving a £2.3b pre-money valuation in a £40m fundraising round in March 2018. Investors include Balderton Capital and BlackRock.

IPO statistics

Out of **113** UK high-growth companies that have IPO'd since 2012, **15** (13%) have been based in the North West

With **10** IPOs since 2012, Greater Manchester has completed more listings than any other LEP outside of London.

The average amount raised through an IPO is **£74m** in the North West region and **£90m** in Greater Manchester, compared to **£66m** UK wide and **£104m** in London.

IPO



TRADING ADMISSION DATE
15/03/2019
AMOUNT RAISED
£93.7m
STOCK EXCHANGE
London Stock Exchange

Manchester-based legal firm DWF IPO'd in March 2019, one of just two high-growth companies to IPO in Q1.

Top investors

The most active fund manager in the North West in 2018 was Maven Capital Partners. Along with Mercia Technologies, most of their deals were financed through the Equity Finance fund of the Northern Powerhouse Investment Fund (NPIF).

This fund was set up by British Business Bank, in collaboration with European Regional Development Fund and the European Investment Fund, in order to funnel more investment into SMEs in the North.

2018 TOP INVESTORS INTO THE NORTH WEST BY NUMBER OF DEALS

Maven Capital Partners	16
Mercia Technologies	12
BGF	8
Catapult Venture Managers	8
FW Capital	7

Top companies by amount of equity funding raised

Company	Total raised	Sector	Headcount	Stage of evolution
OakNorth Bank	£637m	Financial services	100-249	Growth
The Hut Group	£345m	E-commerce	>1000	Established
Fircroft	£140m	Recruitment	500-999	Established
Wainhomes	£76.8m	Financial services	10-24	Venture
F2G	£75.3m	Pharmaceuticals	10-24	Venture

Top companies by latest pre-money valuation*

Company	Latest pre-money valuation	Sector	Headcount	Stage of evolution
The Hut Group	£2.32b	E-commerce	>1000	Established
Wainhomes	£630m	Property development	250-499	Established
Cameron Clarke Leasing	£181m	Vehicle hire	5-9	Established
SecureCloud+	£161m	IT consultancy	25-49	Growth
NanoFlex	£158m	Nanotechnology	5-9	Venture

*who have raised investment where we have managed to calculate a valuation

Top companies by growth in turnover 2017 - 2018*

Company	Latest Turnover	Growth from previous	Headcount	Sector	Stage of evolution
Graphene Enabled Systems	£664k	313%	5-9	Materials technology	Seed
Byrom	£150m	270%	100-249	Event management	Established
Iconichem Widnes	£65.8m	186%	50-99	Materials production	Growth
InnoCryst	£25.3k	153%	<5	Research tools	Seed
Victorian Plumbing	£118m	124%	100-249	E-commerce	Established

*who have filed full accounts in both 2017 and 2018

Top companies by growth in employee count 2017 - 2018

Company	Latest employee count	Growth from previous	Sector	Stage of evolution
Jones Homes	821	346%	Construction	Established
BES Utilities	186	138%	Energy utilities	Established
Duality Group	181	106%	Energy utilities	Venture
Missguided	778	78%	Fashion	Established
RSK Group	1786	58%	Consultancy	Established

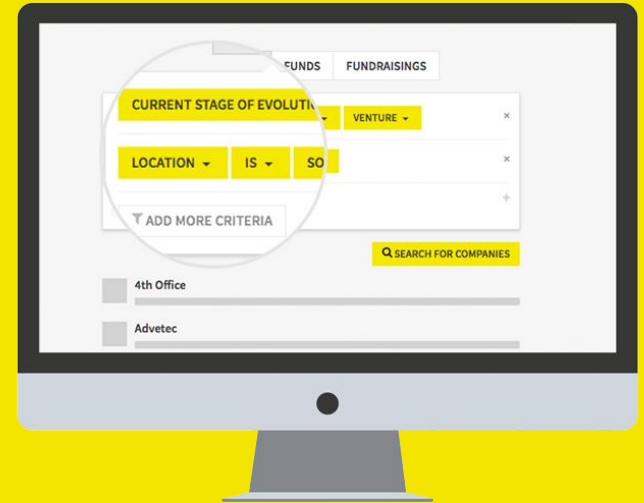
*who have filed full accounts in both 2017 and 2018, starting count at least 50

Explore all the ambitious companies in the UK with a subscription to Beauhurst

Beauhurst is a searchable database of the UK's most ambitious companies – from seed-stage startups to growing scaleups and beyond.

We collect and manually curate hundreds of data-points on over 23,000 companies.

Find, analyse and download information with a [subscription to the Beauhurst platform](#).



Beauhurst

beauhurst.com [@beauhurst](https://twitter.com/beauhurst) [in/beauhurst](https://www.linkedin.com/company/beauhurst)